

Multiple Choice (10 marks)

1. If a monopsony labor market suddenly were transformed into a perfectly competitive labor market, how would the wage and employment change?
 - (a) The wage would decrease, but employment would remain constant.
 - (b) Both would increase.
 - (c) Both would decrease.
 - (d) The wage would remain constant, but employment would increase.
 - (e) The wage would increase, but employment would remain constant.
2. A bilateral monopoly exists when
 - (a) a monopsony competes with a monopoly
 - (b) a monopsony buys from a monopoly
 - (c) a monopolist sells two different types of goods
 - (d) two monopolies sell to a single consumer
 - (e) a monopoly competes with a monopsony
3. What is meant by "economic resources" or "factorsof production"? Name three categories of resources.
 - (a) Capital, commodities, and currency
 - (b) raw materials, human resources and technology
 - (c) natural resources, artificial resources and human resources
 - (d) Water, oil, and minerals
 - (e) Intellectual property, workforce, and real estate
4. Which of the following is NOT a feature of continuously compounded returns (i.e. log-returns)?
 - (a) They can be interpreted as continuously compounded changes in the prices
 - (b) They can be added over time to give returns for longer time periods
 - (c) They can be added across a portfolio of assets to give portfolio returns
 - (d) They are usually fat-tailed
5. Suppose transfer payments are greater than Social Security contributions corporate taxes and retained earnings combined. In that case
 - (a) NDP will be greater than GDP.

- (b) NI will be greater than GDP.
- (c) PI will be greater than NI.
- (d) DPI will be greater than PI.

True / False (10 marks)

Answer True or False

- 6. True or False: An increase in investment of \$100M is necessary to realize a \$300M change in income.
- 7. True or False: The fixed effects panel model is also known as the pooled cross-sectional model.
- 8. True or False: An increase in government spending with a corresponding increase in taxes will shift the IS curve to the right.
- 9. True or False: The number of pages in a book can be adjusted in the long run, reflecting the flexibility of the IS curve.
- 10. True or False: The 2SLS (Two-Stage Least Squares) method is a valid estimation technique for cointegrated variables.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

- 11. Discuss the conditions necessary for establishing bi-directional feedback in a VAR model, focusing on the significance of the b and d coefficients. Analyze their implications for economic interpretation.
- 12. Discuss how a standard GARCH(1,1) model captures features such as fat tails and volatility clustering in financial asset return time-series, and analyze their implications for risk management.

End of Paper